

Multiple Choice (10 marks)

1. Stagflation most likely results from
 - (a) decreasing AD with constant SRAS.
 - (b) a decrease in AD with increasing SRAS.
 - (c) decreasing SRAS with constant AD.
 - (d) increasing both AD and SRAS.
 - (e) a decrease in AD and an increase in SRAS.
2. What main functions are performed in the economy by commercial banks ?
 - (a) Conducting monetary policy for the government
 - (b) Offering educational services on finance
 - (c) Investing in securities
 - (d) Issuing credit cards
 - (e) Setting interest rates for the entire economy
3. Whether imposed for protective purposes or to raise revenue, tariffs can be imposed in two different ways. Define these two methods of imposing tariffs, and give an example of each.
 - (a) Per unit and per category
 - (b) Ad valorem and specific
 - (c) Percentage and fixed fee
 - (d) Comprehensive and selective
 - (e) Fixed rate and variable rate
4. Which of the following is true about a price floor?
 - (a) It will be located in the middle of the equilibrium price.
 - (b) It will be located below the equilibrium price.
 - (c) It will be located above the equilibrium price.
 - (d) It will be located above the market price.
 - (e) It is used when the equilibrium price is too high.
5. Which of the following would lead to a decrease in the money supply?
 - (a) The FED lowers the discount rate.
 - (b) The FED sells government securities in the secondary market.
 - (c) The federal government spends less money.
 - (d) The FED lowers reserve requirements.

True / False (10 marks)

Answer True or False

6. True or False: Per capita figures are primarily used to track the number of businesses within an economy.
7. True or False: A lump-sum tax that reduces disposable income by 50 billion will decrease NNP by 200 billion.
8. True or False: A normal good will always see an increase in quantity demanded if the income effect is weaker than the substitution effect.
9. True or False: Labor is a scarce resource that households provide and businesses demand in the circular flow model.
10. True or False: A nation that discourages investment in technology is likely to experience a decrease in labor productivity and economic growth.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the factors Mr. Balfour should consider when deciding between investing in tax-free municipal bonds or a high-interest savings account, given his marginal tax rate of 30%.
12. Discuss the major microeconomic challenges of the Soviet planned economy, focusing on consumer satisfaction, output quality, and technological resistance. Analyze their impact on economic efficiency.

End of Paper